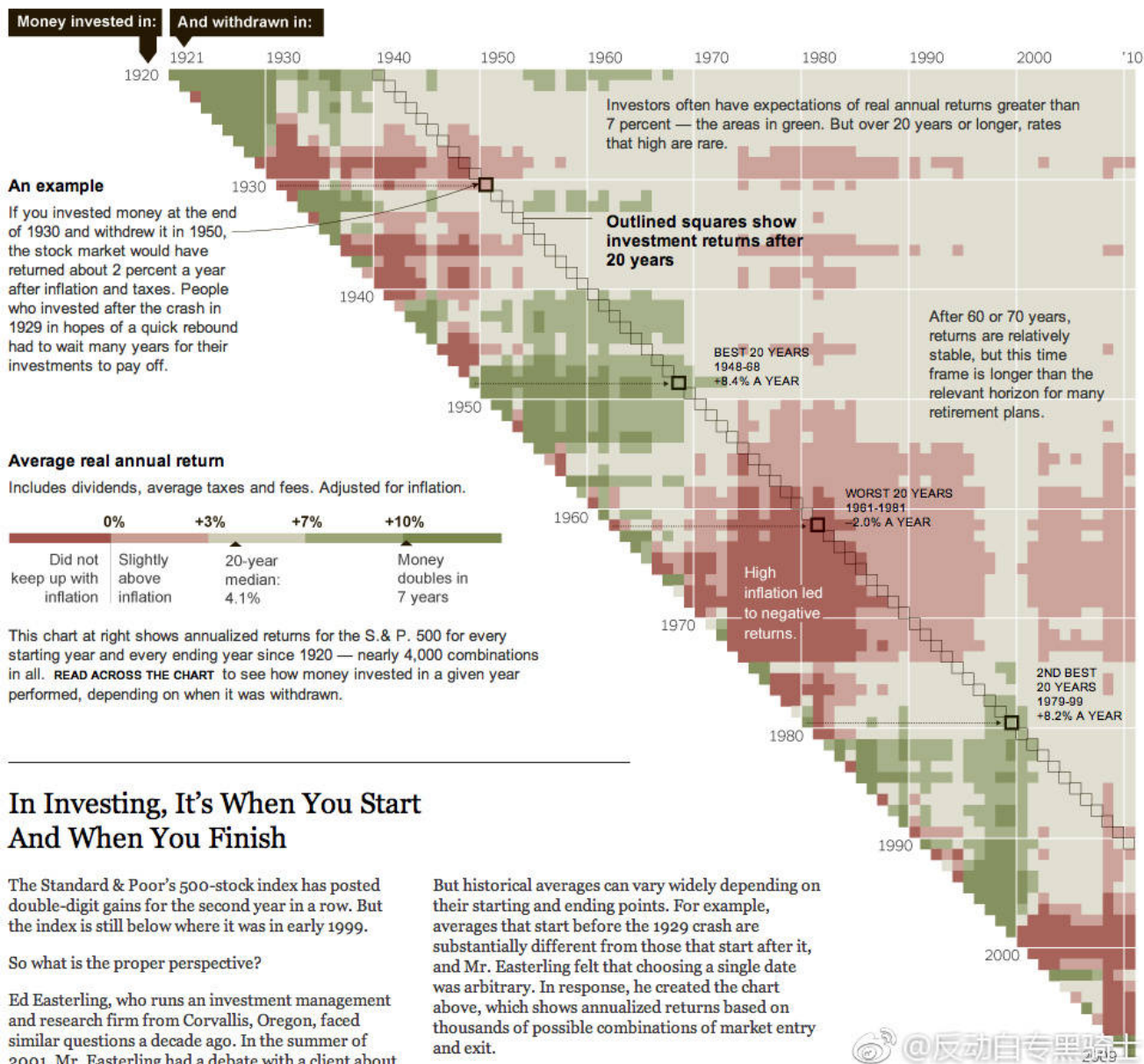




In Investing, It's When You Start And When You Finish

The Standard & Poor's 500-stock index has posted double-digit gains for the second year in a row. But the index is still below where it was in early 1999.

So what is the proper perspective?

Ed Easterling, who runs an investment management and research firm from Corvallis, Oregon, faced similar questions a decade ago. In the summer of 2001, Mr. Easterling had a debate with a client about

But historical averages can vary widely depending on their starting and ending points. For example, averages that start before the 1929 crash are substantially different from those that start after it, and Mr. Easterling felt that choosing a single date was arbitrary. In response, he created the chart above, which shows annualized returns based on thousands of possible combinations of market entry and exit.